

1 Preliminary notions

1.1 Probability theory

The foundation of modern probability theory is based on measure theory.

Definition 1.1 (σ -algebra). A σ -algebra $\mathcal{F}$ on a set Ω is a collection of subsets of Ω that

- $\Omega \in \mathcal{F}$
- if $A \in \mathcal{F}$ then $\Omega \setminus A \in \mathcal{F}$
- if $A_1, A_2, \dots \in \mathcal{F}$ then $\bigcup_{i=1}^{\infty} A_i \in \mathcal{F}$

Definition 1.2 (Measure). Let Ω be a set and $\mathcal{F}$ a σ -algebra on Ω . A function $\mu : \mathcal{F} \rightarrow [0, \infty]$ is **measure** if satisfies

1. $\mu(\emptyset) = 0$
2. $\mu(A) \geq 0$ for all $A \in \mathcal{F}$
3. if $\{A_i\}_{i=1}^{\infty} \in \mathcal{F}$ and $A_i \cap A_j = \emptyset$ for all $i \neq j$ then

$$\mu\left(\bigcup_{i=1}^{\infty} A_i\right) = \sum_{i=1}^{\infty} \mu(A_i)$$

If μ is a measure on $\mathcal{F}$ such that $\mu(\Omega) = 1$, then μ is called a **probability measure**.

Definition 1.3 (Probability space). A probability space is a triple $(\Omega, \mathcal{F}, P)$ where

- Ω is the set of all possible outcomes
- $\mathcal{F}$ is a σ -algebra on Ω
- P is a probability measure.

For a more details in probability theory and stochastic processes, see [4] or [5].

1.2 Stochastic processes

Definition 1.4 (Stochastic processes). A stochastic process is an indexed family of random variables

$$\{X(t, \omega)\}_{t \in T},$$

on a probability space $(\Omega, \mathcal{F}, P)$ assuming values in $\mathbb{R}^n$.

If the set T is countable then the stochastic process is said to be *discrete*, if T is some interval of $\mathbb{R}$ the is *continuous*.

An intuitive way to understand stochastic processes is to consider what is $X(t, \omega)$ when t or ω is fixed. If we fix $t \in T$ then the map

$$\omega \rightarrow X_t(\omega),$$

for $\omega \in \Omega$ is a random variable. If $\omega \in \Omega$ is fixed then the map

$$t \rightarrow X_\omega(t),$$

for $t \in T$ is a deterministic function, and is called *path* of $X(t, \omega)$.

Definition 1.5 (Filtration). A **filtration** is a family of σ -algebras $\{\mathcal{F}_t\}_{t \in T}$ indexed by T , such that $\mathcal{F}_s \subseteq \mathcal{F}_t$ for all $s \leq t$, where $s, t \in T$.

The idea is that a filtration $\mathcal{F}_t$ represents the information available from the past of an stochastic process up to time t . Thus we define a **filtered probability space** as a probability space with a filtration $(\Omega, \mathcal{F}, \{\mathcal{F}_t\}_{t \in T}, P)$.

Definition 1.6 (Adapted process). Let X_t be a stochastic process on a filtered probability space $(\Omega, \mathcal{F}, \{\mathcal{F}_t\}_{t \in T}, P)$. The process is **adapted** to the filtration $\{\mathcal{F}_t\}_{t \in T}$ if, for every $t \in T$, the random variable X_t is $\mathcal{F}_t$ -measurable.

The idea of an adapted process is key when modeling using stochastic processes, as it ensures that the process is at time t only depends on the information available up to that time, but not on future information.

1.2.1 Martingales

A martingale is a fundamental concept in the theory of stochastic processes, formalizes the idea of a "fair game", where given all the information up to now, the best prediction for the future is simply the present value.

Definition 1.7 (Martingale). A stochastic process X_t where $t \in T$ is called a **martingale** with respect to a filtration $\mathcal{F}_t$ if it satisfies the following conditions:

1. $E[|X_t|] < \infty$, for each $t \in T$
2. X_t is measurable with respect to $\mathcal{F}_t$ for each $t \in T$
3. If X_t is discrete

$$E[X_{t+1} | \mathcal{F}_t] = X_t \quad \forall t \in \mathbb{N},$$

if X_t is continuous

$$E[X_t | \mathcal{F}_s] = X_s \quad \forall s \leq t.$$

1.2.2 Brownian Motion

Brownian motion (also called Wiener process) is the fundamental stochastic process underlying continuous-time financial modeling. Formally, a Brownian motion $\{W_t\}_{(t \geq 0)}$ is defined by the following properties:

1. $W_0 = 0$
2. The map $t \rightarrow W_t(\omega)$ is almost surely continuous
3. W_t has independent increments, i.e. For $t_1 < t_2 < t_3 < t_4$, $W_{t_2} - W_{t_1}$ and $W_{t_4} - W_{t_3}$ are independent random variables
4. W_t has gaussian increments, i.e. $W_t - W_s \sim \mathcal{N}(0, t - s)$ for $0 \leq s \leq t$

where $\mathcal{N}(\mu, \sigma)$ is the normal distribution with mean μ and variance σ .

The Brownian motion has some key features that will need afterwards, for example it can be shown that the paths $t \rightarrow W_t(\omega)$ although are almost surely continuous, they are nowhere differentiable.

Also the it can be shown that the Wiener process is an almost surely continuous martingale, and its quadratic variation is $\{W_t, W_t\} = t$. This two properties along $W_0 = 0$ form an equivalent definition of the Wiener process, called the Levy's characterization.

In [7] there are proofs of this properties and the equivalence between the two definitions, also there is a proof of the existence of the Brownian motion.

2 Stochastic calculus

We would model the dynamics of the value of a financial asset, an ordinary differential equation of the form

$$\frac{dS_t}{dt} = f(t, S_t),$$

would not be sufficient to capture the randomness present in the financial data.

Stochastic differential equations (SDEs) are similar to ODEs, but include a stochastic term that allows for modeling the random fluctuations,

$$\frac{dS_t}{dt} = f(t, S_t) + \sigma(t, S_t)W_t, \quad (1)$$

where the term W_t is a stochastic process. Notice that (1) can be written in a integration notation as

$$S_t = S_0 + \int_0^t f(t, S_t)dt + \int_0^t \sigma(t, S_t)dW_t, \quad (2)$$

thus a key part of SDEs is defining the last term which is called stochastic integral.

The most well known process that has a well defined stochastic integral is the Wiener process or Brownian motion, this stochastic integral is known as the Ito integral and will allow us to have the machinery to study SDEs and thus model the dynamics of financial assets.

2.1 Ito's integral

Definition 2.1. Let $\mathcal{V} = \mathcal{V}(S, T)$ the class of functions

$$f(t, \omega) : [0, \infty) \rightarrow \mathbb{R},$$

such that

- (t, ω) is $\mathcal{B} \times \mathcal{F}$ -measurable, where $\mathcal{B}$ is the Borel σ -algebra on $[0, \infty)$ and $\mathcal{F}$ is the σ -algebra on Ω ,
- $f(t, \omega)$ is $\mathcal{F}_t$ adapted.
- $\mathbb{E} \left[\int_S^T f(t, \omega)^2 dt \right] < \infty$.

We will start by defining the Ito intregral for *elementary functions*, then this can be extended to functions in $\mathcal{V}$.

Definition 2.2. A function ϕ is called *elementary* if it has de form

$$\phi(t, \omega) = \sum_j e_j(\omega) \mathbb{1}_{[t_j, t_{j+1})}(t).$$

For elementary functions we define the Ito integral as

$$\int_S^T \phi(t, \omega) dW_y(\omega) = \sum_j e_j(\omega) [B_{t_{j+1}} - B_{t_j}] (\omega).$$

Lemma 2.1 (Ito isometry). Let $\phi(t, \omega)$ be a bounded elementary function, then

$$\mathbb{E} \left[\left(\int_S^T \phi(t, \omega) dB_t(\omega) \right)^2 \right] = \mathbb{E} \left[\int_S^T \phi(t, \omega)^2 dt \right].$$

Using the Ito isometry and the definition of the Ito integral for elementary functions, the Ito integral can be extended to the class of functions $\mathcal{V}$, using that the functions in $\mathcal{V}$ can be expressed as the limit of sequences of simpler functions. It is worth mentioning that the Ito isometry still holds for any function in $\mathcal{V}$.

The result of the integral is a stochastic process, which is a continuous martingale. This is similar to regular integration, where the result of integrating a function is a new function, in this case the result of integrating a process "over" a stochastic process is a new stochastic process, plus the resulting process has the nice property of being a martingale.

The class $\mathcal{V}$ is rather limited and does not even contain all continuous functions, see [9]. Having to restrict to this class would be rather inconvenient when modeling using SDEs, luckily the Ito integral can be extended to a broader class by relaxing the last condition of the definition 2.1

$$P\left(\int_S^T f(t, \omega)^2 dt < \infty\right) = 1,$$

will call this class of functions $\mathcal{W}$. Notice that the class $\mathcal{W}$ does contain all continuous functions.

2.2 Ito's formula

Having defined the Ito integral, would be interesting to have a way to easily compute stochastic integrals without having to compute the limit of elementary functions, that is the purpose of the Ito's lemma or Ito's formula. The Ito's formula is a stochastic version of the chain rule for derivatives.

Definition 2.3 (Ito process). Let B_t be a Brownian motion on $(\Omega, \mathcal{F}, P)$. An Ito process is a stochastic process X_t on $(\Omega, \mathcal{F}, P)$ of the form

$$X_t = X_0 + \int_0^t \mu(s, X_s) ds + \int_0^t \sigma(s, X_s) dB_s, \quad (3)$$

where μ and σ are adapted, measurable processes, that satisfy the integrability conditions

$$P\left(\int_0^T |\mu(t, \omega)| dt < \infty\right) = 1,$$

and

$$P\left(\int_0^T \sigma(t, \omega)^2 dt < \infty\right) = 1.$$

The equation (3) can be also written in differential form as

$$dX_t = \mu ds + \sigma dB_s.$$

Theorem 2.2 (1-dimensional Ito's formula). Let X_t be an Ito process given by

$$dX_t = \mu ds + \sigma dB_s.$$

Let $g(t, x) \in C^2([0, \infty) \times \mathbb{R})$, then

$$Y_t = g(t, X_t),$$

is an Ito process given by

$$dY_t = \frac{\partial g}{\partial t}(t, X_t) dt + \frac{\partial g}{\partial x}(t, X_t) dX_t + \frac{1}{2} \frac{\partial^2 g}{\partial x^2}(t, X_t) (dX_t)^2, \quad (4)$$

where $(dX_t)^2$ is computed according to the rules

$$(dB_t)^2 = dt, \quad (dt)^2 = 0, \quad dB_t \cdot dt = 0.$$

For the proof of the Ito's formula we refer to [8]. The formula can be extended to multiple dimensions.

Definition 2.4 (n -dimensional Ito process). Let $B_t = (B_1(t), \dots, B_m(t))$ be a m -dimensional Brownian motion, let μ_i and σ_{ij} be adapted, measurable processes such that

$$P\left(\int_0^T |\mu_i(t, \omega)| dt < \infty\right) = 1, \quad P\left(\int_0^T \sigma_{ij}(t, \omega)^2 dt < \infty\right) = 1,$$

then we define the n -dimensional Ito process $X_t = (X_1(t), \dots, X_n(t))$ as

$$\begin{cases} dX_1(t) = \mu_1 dt + \sigma_{11} dB_1(t) + \dots + \sigma_{1m} dB_m(t), \\ \vdots \\ dX_n(t) = \mu_n dt + \sigma_{n1} dB_1(t) + \dots + \sigma_{nm} dB_m(t), \end{cases}$$

or in matrix notation

$$dX_t = \mu ds + \sigma dB_s.$$

where $\mu = (\mu_1, \dots, \mu_n)$ and $\sigma = (\sigma_{ij})$ are n -dimensional vectors and $m \times n$ matrices respectively.

Theorem 2.3 (General Ito's formula). Let X_t be a n -dimensional Ito process given by

$$dX_t = \mu ds + \sigma dB_s.$$

Let $g(t, x) = (g_1(t, x), \dots, g_p(t, x)) \in C^2([0, \infty) \times \mathbb{R}^n)$, then

$$Y_t = g(t, X_t),$$

is a p -dimensional Ito process whose components are given by

$$dY_k(t) = \frac{\partial g_k}{\partial t}(t, X_t)dt + \sum_i \frac{\partial g_k}{\partial x_i}(t, X_t)dX_i(t) + \frac{1}{2} \sum_{ij} \frac{\partial^2 g_k}{\partial x_i \partial x_j}(t, X_t)dX_i(t)dX_j(t), \quad (5)$$

where $dX_i(t)dX_j(t)$ is computed according to the rules

$$(dB_i(t))^2 = dt, \quad dB_i(t)dB_j(t) = 0.$$

2.3 Stochastic differential equations

3 Black-Scholes

Black-Scholes is a mathematical model for pricing options. Although many other models have been developed since, the Black-Scholes model remains as the most important model in option pricing, as in many cases options in markets are quoted using the Black-Scholes formula.

A derivative is a financial instrument whose payments are derived from the price of an other asset, called the underlying asset. Derivatives are widely used in finance, whether to hedge financial risk, this is to protect against adverse price movements, or to bet on specific views, especially when it's difficult to take a position in the underlying asset. So being able to price them and justify the price is key for the market to function.

3.1 Replication and arbitrage

One of the most important concepts in modern finance is the so called *law of one price*. The idea is that if two financial assets have exactly the same payoffs in all possible scenarios, then they should have the same price.

This is linked to the concept of *arbitrage*, informally we say that arbitrage is the opportunity to make a riskless profit. For example, if two assets that have exactly the same payoffs in all possible scenarios, but don't follow the law of one price, one can buy the cheaper one and sell the more expensive one, gaining an instant profit and compensating the payoffs of the sold asset using the payoffs of the bought one, which match exactly.

We will work under the assumption that we are operating in a market with no arbitrage, this assumption is technically known as *The First Fundamental Theorem of Asset Pricing*, and a key part of the *Efficient Market Hypothesis*. Under this assumption, we can price any derivative by creating a replicating portfolio, this is a set of assets that has exactly the same payoffs as the derivative in all possible scenarios.

There are two main ways of creating a replicating portfolio:

- **Static replication** refers to an replicating portfolio that is created at the beginning and held as is until maturity.
- **Dynamic replication** refers to a replicating portfolio that requires a continuous change of its composition over time.

For a further discussion on replication, and its applications in finance, we recommend the book [3].

We will show two examples of static replication from [9] that will be useful to understand the Black-Scholes model.

3.1.1 Example: Forward contract

Assume that there is an agent that borrows and lends money at a continuously compounded rate r , known as the **risk-free rate**. This means that if we borrow 1\$ at time $t = 0$, we will have to pay e^{rT} \$ at time $t = T$.

A forward contract gives the holder the obligation to buy an asset at a fixed price K at a fixed date T .

To price this contract imagine we are at time t and the current price of an asset is S , we want to buy a forward contract with maturity T and fixed price K .

We have two options, we can buy the contract at time t for a price of F and at time T pay K to get the asset. Alternatively we can buy the asset for S and borrow $e^{-r(T-t)}K$

at time t , so at time T we will pay $K = e^{r(T-t)}e^{-r(T-t)}K$ while having the asset. Both options have the same cashflow at time T , pay K and own the asset, so either we have

$$F = S - e^{-r(T-t)}K,$$

or there is an arbitrage opportunity.

We have found the price of the forward contract by replicating its cashflows, using the underlying asset and the risk-free rate, plus arguing that there should not be an arbitrage opportunity.

3.1.2 Example: Put-Call parity

Definition 3.1 (European call option). An **European call option** is a financial contract that gives the holder the right, but not the obligation, to **buy** an asset at a fixed price (the strike price) at a fixed date (the maturity date).

The payoff of an European call option at maturity T is given by:

$$C_T = \max(S_T - K, 0), \quad (6)$$

where S_T is the price of the underlying asset at maturity and K is the strike price.

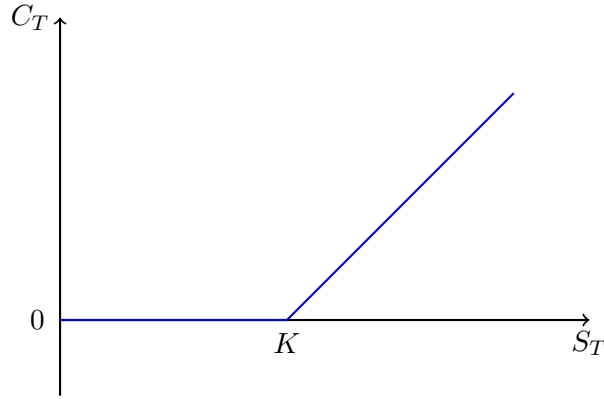


Figure 1: Payoff of a European call option

Definition 3.2 (European put option). An **European put option** is a financial contract that gives the holder the right, but not the obligation, to **sell** an asset at a fixed price (the strike price) at a fixed date (the maturity date).

The payoff of an European put option at maturity T is given by:

$$P_T = \max(K - S_T, 0), \quad (7)$$

where S_T is the price of the underlying asset at maturity and K is the strike price.

Now consider a portfolio where we buy a call option and sell a put option with same strike K and maturity T , the payoff of such portfolio at time T will be exactly $S_T - K$. So we are essentially receiving the asset and paying K at time T , as we have seen this is the payoff of a forward contract, which means that at time t the price of our portfolio must be equal to the price of a forward of the asset,

$$C_t - P_t = F_t = S_t - e^{-r(T-t)}K, \quad (8)$$

this formula is called *put-call parity* and illustrates the relationship between the price of a call and a put option.

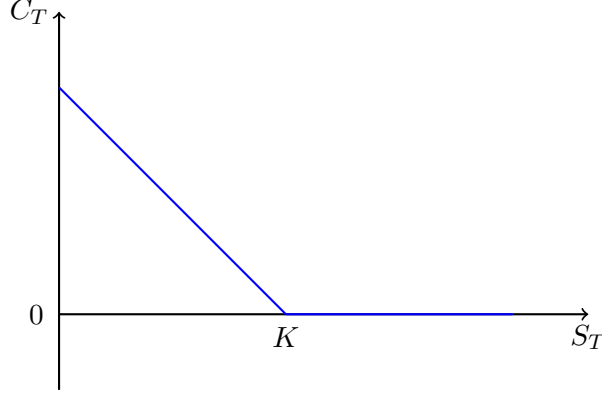


Figure 2: Payoff of a European put option

3.2 The Black-Scholes model

The Black-Scholes model is a mathematical model for pricing options, that is based on replicating the payoffs of the option dynamically using the underlying asset and a risk-free rate bond.

Like before we assume that the market is arbitrage-free, and that there is a constant risk-free rate r . As the model is based on dynamic replication, we also need to assume that we can rebalance our replicating portfolio continuously, i.e. we can buy and sell any amount of the underlying asset and the risk-free rate bond instantaneously at any time.

Let S_t be the price of the underlying asset at time t and β_t be the price of the risk-free rate bond at time t . The dynamics of this two assets are given by the following stochastic differential equations (SDEs):

$$dS_t = \mu S_t dt + \sigma S_t dW_t, \quad d\beta_t = r\beta_t dt.$$

To construct the replicating portfolio. Let a_t be the amount of the underlying asset in our replicating portfolio and b_t be the amount of the risk-free rate bond in our replicating portfolio. Then the value of the portfolio at any time t is given by:

$$V_t = a_t S_t + b_t \beta_t.$$

We need this portfolio to have the same payoff as the option at time T , so

$$V_T = \max(S_T - K, 0).$$

As the portfolio is dynamically replicating the option, the cashflow of the portfolio must match the ones of the option, these are the payoff as seen before, and the initial payment, so no cash must come in or out of the portfolio at any time between t and T . This means that the portfolio must be *self-financing*, so the rebalanced must come from selling the underlying asset and buying the bond, or vice versa. This is expressed mathematically as

$$dV_t = a_t dS_t + b_t d\beta_t, \tag{9}$$

which can be extended to

$$dV_t = (a_t \mu S_t + b_t r \beta_t) dt + a_t \sigma S_t dW_t.$$

Now as the value of the replicating portfolio V_t should be equal to the value of the option at any time t , we assume that this can be expressed by a function $f(t, S_t)$, depending only on the time t and the price of the underlying asset S_t . Thus applying Ito's formula we have that

$$dV_t = \left(\frac{\partial f}{\partial t} + \frac{\partial f}{\partial S} \mu S_t + \frac{1}{2} \frac{\partial^2 f}{\partial S^2} \sigma^2 S_t^2 \right) dt + \frac{\partial f}{\partial S} \sigma S_t dW_t,$$

matching the two expressions for dV_t we have that

$$a_t = \frac{\partial f}{\partial S},$$

and

$$b_t = \frac{1}{r\beta_t} \left(\frac{\partial f}{\partial t} + \frac{1}{2} \frac{\partial^2 f}{\partial S^2} \sigma^2 S_t^2 \right)$$

as V_t is the value of the replicating portfolio and the option at time t , we have that

$$f(t, S_t) = V_t = a_t S_t + b_t \beta_t,$$

using the values of a_t and b_t from above,

$$f(t, S_t) = \frac{\partial f}{\partial S} S_t + \frac{1}{r} \left(\frac{\partial f}{\partial t} + \frac{1}{2} \frac{\partial^2 f}{\partial S^2} \sigma^2 S_t^2 \right),$$

that can be rearranged to

$$\frac{\partial f}{\partial t} = r f(t, S_t) - r \frac{\partial f}{\partial S} S_t - \frac{1}{2} \frac{\partial^2 f}{\partial S^2} \sigma^2 S_t^2, \quad (10)$$

with terminal condition

$$V_T = f(T, S_T) = \max(S_T - K, 0),$$

which is the **Black-Scholes PDE**.

3.3 Pricing - Solving the Black-Scholes PDE

There is an analytical solution to the Black-Scholes PDE. See [9] for a more detailed derivation.

Start a change of variables. Let $\tau = T - t$ be the time to maturity, and $x = \ln\left(\frac{S}{K}\right)$ be the log-moneyness. We define a new function $u(\tau, x) = f(t, S)$ so the Black-Scholes PDE is transformed to,

$$\frac{\partial u}{\partial \tau} = \frac{1}{2} \sigma^2 \frac{\partial^2 u}{\partial x^2} + \left(r - \frac{1}{2} \sigma^2 \right) \frac{\partial u}{\partial x} - r u(\tau, x).$$

Now we would like to remove the drift term (the derivative with respect to x) and the zero order term, so we have a standard heat equation. To do it we do another transformation,

$$u(x, \tau) = e^{\alpha x + \beta \tau} v(x, \tau),$$

where α and β are the coefficients that lead to the heat equation, using,

$$u_\tau = e^{\alpha x + \beta \tau} (\beta v + v_\tau),$$

$$u_x = e^{\alpha x + \beta \tau} (\alpha v + v_x),$$

$$u_{xx} = e^{\alpha x + \beta \tau} (\alpha^2 v + 2\alpha v_x + v_{xx}),$$

we get,

$$v_\tau = \frac{1}{2}\sigma^2 v_{xx} + v_x \left(\sigma^2 \alpha + r - \frac{1}{2}\sigma^2 \right) + v \left(\frac{1}{2}\sigma^2(\alpha^2 - \alpha) + r\alpha - r - \beta \right),$$

thus,

$$\alpha = \frac{1}{2} - \frac{r}{\sigma^2} = -\frac{1}{\sigma^2} \left(r - \frac{1}{2}\sigma^2 \right),$$

and

$$\begin{aligned} \beta &= \alpha \left(r + \frac{1}{2}\sigma^2(\alpha - 1) \right) - r \\ &= \alpha \left(\frac{1}{2}r - \frac{1}{4}\sigma^2 \right) - r \\ &= -\frac{1}{2\sigma^2} \left(r - \frac{1}{2}\sigma^2 \right)^2 - r \\ &= -\frac{1}{2\sigma^2} \left(r + \frac{1}{2}\sigma^2 \right)^2. \end{aligned}$$

So we get the standard heat equation,

$$\frac{\partial v}{\partial \tau} = \frac{1}{2}\sigma^2 \frac{\partial^2 v}{\partial x^2},$$

with initial conditions for v ,

$$v(x, 0) = e^{-\alpha x} u(x, 0) = K e^{-\alpha x} \max(e^x - 1, 0).$$

Now we can solve the equation using the heat operator,

$$v(x, \tau) = \int_{-\infty}^{\infty} v(y, 0) k(\sigma^2; \tau, x - y) dy,$$

where the function k is the heat kernel, using the initial condition we get,

$$v(x, \tau) = \int_0^{\infty} K e^{-\alpha y} (e^y - 1) k(\sigma^2; \tau, x - y) dy,$$

this leaves us with two integrals

$$\begin{aligned} I_1 &= K \int_0^{\infty} e^{(1-\alpha)y} k(\sigma^2; \tau, x - y) dy, \\ I_2 &= -K \int_0^{\infty} e^{-\alpha y} k(\sigma^2; \tau, x - y) dy, \end{aligned}$$

if we make a change of variable, $s = x - y$, then

$$\begin{aligned} I_1 &= K e^{(1-\alpha)x} \int_{-\infty}^x e^{-(1-\alpha)s} k(\sigma^2; \tau, s) ds, \\ I_2 &= -K e^{-\alpha x} \int_{-\infty}^x e^{\alpha s} k(\sigma^2; \tau, s) ds. \end{aligned}$$

We will use the following identity to compute the integral,

$$\int_{-\infty}^{\alpha} k(\sigma^2, \tau, s) e^{-\beta s} ds = e^{\frac{\beta^2 \sigma^2 \tau}{2}} \Phi \left(\frac{\alpha}{\sigma \sqrt{\tau}} + \beta \sigma \sqrt{\tau} \right),$$

where Φ is the gaussian cumulative function. Thus using it in our integrals and substituting back to $u = e^{\alpha x + \beta \tau} v$, we get

$$\begin{aligned} I'_1 &= K \exp \left(\alpha x + \beta \tau + (1 + \alpha)x + \frac{(1 - \alpha)^2 \sigma^2 \tau}{2} \right) \Phi(d_1), \\ I'_2 &= K \exp \left(\alpha x + \beta \tau - \alpha x + \frac{\alpha^2 \sigma^2 \tau}{2} \right) \Phi(d_2), \end{aligned}$$

rearranging and simplifying the expressions

$$\begin{aligned} I'_1 &= K \exp \left(x + \left(\beta + \frac{(1 - \alpha)^2 \sigma^2}{2} \right) \tau \right) \Phi(d_1), \\ I'_2 &= K \exp \left(\left(\beta + \frac{\alpha^2 \sigma^2}{2} \right) \tau \right) \Phi(d_2), \end{aligned}$$

the exponent of the first term simplifies to

$$x + \left(\beta + \frac{(1 - \alpha)^2 \sigma^2}{2} \right) \tau = x + \frac{1}{2\sigma^2} \left(- \left(r + \frac{1}{2}\sigma^2 \right)^2 + \left(r + \frac{1}{2}\sigma^2 \right)^2 \right) \tau = x,$$

and for the second one we use that while deriving β , we found

$$\beta = \frac{1}{2}\alpha \left(r - \frac{1}{2}\sigma^2 \right) - r = \frac{\sigma^2}{2}\alpha \frac{1}{\sigma^2} \left(r - \frac{1}{2}\sigma^2 \right) - r = -\frac{\sigma^2}{2}\alpha^2 - r,$$

thus

$$I'_1 = K e^x \Phi(d_1), \quad I'_2 = K e^{-r\tau} \Phi(d_2).$$

Finally reverting the first change of variables from f to u , where $\tau = T - t$ and $x = \ln \left(\frac{S}{K} \right)$ we get the **Black-Scholes formula**

$$f(t, S) = S \Phi(d_1) - K e^{-r(T-t)} \Phi(d_2), \tag{11}$$

where

$$\begin{aligned} d_1 &= \frac{1}{\sigma \sqrt{T-t}} \left(\ln \left(\frac{S}{K} \right) + \left(r + \frac{\sigma^2}{2} \right) (T-t) \right), \\ d_2 &= d_1 - \sigma \sqrt{T-t}. \end{aligned}$$

3.4 Calibration - Implied volatility

4 Arbitrage theory

We can generalize the approach used to derive the Black-Scholes PDE for a more general products. Thus in this section will try to give a general framework to derive equations to price a *contingent claim*.

Definition 4.1 (Market). A market is a set of $n + 1$ assets $S_0, S_1, \dots, S_n$, where the price of S_0 is given by

$$\frac{dS_0(t)}{S_0} = r(S_0(t), t)dt,$$

and the prices of the other assets are given by

$$dS_i(t) = \mu(S_i(t), t)dt + \sigma_i(S_i(t), t)^\top dW(t),$$

where $W(t)$ is a k -dimensional Brownian motion.

Definition 4.2 (Portfolio). A portfolio in the market $\{S_i(t)\}$ is an $n + 1$ dimensional $\mathcal{F}_t^{(k)}$ -adapted stochastic process

$$\theta(t) = (\theta_0(t), \theta_1(t), \dots, \theta_n(t)),$$

an its value at time t is given by

$$V(t) = \sum_{i=0}^n \theta_i(t) S_i(t).$$

Note that as a portfolio $\theta(t)$ is an adapted process it doesn't use future information, so it is a generalization on what in reality would be to rebalance ones investments in the market at time t .

We can generalize the self-financing condition presented in (9) as,

$$V(t) = V(0) + \int_0^t \theta(u) dS(u), \quad (12)$$

in differential form

$$dV(t) = \theta(t) dS(t). \quad (13)$$

A contingent claim is a financial instrument whose payoff depends on the outcome of uncertain future events, for example an European option. As our market consist of assets that are descired as stochastic processes, an European contingent claim paying at time T is a function $f(S(T), T)$ depending on these assets, which is a random variable as $S(T)$ is a random vector of the values of the assets at time T .

4.1 PDE method

Consider an European contingent claim with payoff $f(S(T))$, similar to what we did in section 3.2, we want to construct a replicating portfolio $V(S(t), t)$ that has the same payoff as the contingent claim at time T . Thus using the Ito formula (5) we have

$$\begin{aligned} dV(S(t), t) &= \frac{\partial V}{\partial t} dt + \sum_{i=0}^n \frac{\partial V}{\partial S_i} dS_i(t) + \frac{1}{2} \sum_{i,j} \frac{\partial^2 V}{\partial S_i \partial S_j} dS_i(t) dS_j(t) \\ &= \sum_{i=0}^n \frac{\partial V}{\partial S_i} dS_i(t) + \left(\frac{\partial V}{\partial t} + \frac{1}{2} \sum_{i,j} \frac{\partial^2 V}{\partial S_i \partial S_j} \sigma_i(S(t), t)^\top \sigma_j(S(t), t) \right) dt, \end{aligned}$$

imposing the self-financing condition (13) we find that

$$\theta_i(t) = \frac{\partial V}{\partial S_i}, \quad \forall i = 0, \dots, n, \quad (14)$$

and

$$\frac{\partial V}{\partial t} + \frac{1}{2} \sum_{i,j} \frac{\partial^2 V}{\partial S_i \partial S_j} \sigma_i(S(t), t)^\top \sigma_j(S(t), t) = 0. \quad (15)$$

Also using $V(S(t), t) = \theta(t)S(t)$ in (14) we get

$$V(S(t), t) = \sum_{i=0}^n \frac{\partial V}{\partial S_i} S_i. \quad (16)$$

The equations (15) and (16) describe the PDE for the price of the contingent claim, using as boundary condition the payoff at time T

$$V(S(T), T) = f(S(T)).$$

As in Black-Scholes model, μ does not explicitly appear in the PDE, its only present implicitly in the prices $S(t)$ of the assets.

4.2 Martingale method

The martingale method is an alternative framework to the PDE method, that allows to price contingent claims in a more flexible way.

We will use chapter 10 of [2] as a reference for this section, we start with a couple of definitions related with the concept of market and portfolio defined previously.

Definition 4.3 (Attainable process). We say a price process $V(t)$ is *attainable* if there exists a self-financing portfolio $\theta(t)$ such that $V(t) = \theta(t)S(t)$.

The attainable process is a formalization of the dynamic replicating portfolio idea. An other restriction on the portfolios we are going to consider is the following,

Definition 4.4 (Admissible portfolio). A portfolio $\theta(t)$ is called *admissible* if exists $\alpha > 0$ such that

$$\int_0^t \theta(t) dS(t) \geq -\alpha, \quad \forall t \in [0, T].$$

In real life we can interpret this condition as a limit on the amount the portfolio can lose or borrow, as bank, clearing house or counterparty will not allow such risks and would force to cancel the deal. Technically also allow to cancel out some other undesirable strategies that would prevent some key theorems to hold, see [9] sections 14.5 and 14.6 for more details on such strategies.

Now we will formalize the idea of arbitrage in a market.

Definition 4.5 (Arbitrage). A self-financing and admissible portfolio $\theta(t)$ is an *arbitrage* if one of the following conditions hold for time t :

1. $\theta(0)S(0) < 0$ and $P(\theta(t)S(t) \geq 0) = 1$,
2. $\theta(0)S(0) = 0$ and $P(\theta(t)S(t) \geq 0) = 1$ and $P(\theta(t)S(t) > 0) > 0$,

Consider that the *risk-free* asset S_0 has a constant price of 1, i.e. the *risk-free* rate is $r(S(t), t) \equiv 0$. Under this assumption we introduce the *risk-neutral measure* $\mathcal{Q}$ as,

Definition 4.6. A probability measure $\mathcal{Q}$ on $\mathcal{F}_T$ is called a *risk-neutral measure* (also known as *equivalent martingale measure*) if

- $\mathcal{Q}$ is equivalent to P on $\mathcal{F}_T$.
- All price process in the market $S_0, S_1, \dots, S_n$ are martingales under $\mathcal{Q}$ on the time interval $[0, T]$.

We refer to P as the "real" probability measure and reflects the true probability of the price processes, whereas $\mathcal{Q}$ is a probability measure under which the expected price of any asset is equal to the current one regardless of their risk (volatility).

Under this assumption we have the following theorem.

Theorem 4.1 (First fundamental theorem of asset pricing). The market $\{S_i(t)\}$ is arbitrage-free if and only if there exists an equivalent (local) martingale measure $\mathcal{Q}$.

We include the local martingales as restricting to the martingales would eliminate too many processes, that are of interest.

The restriction on the risk-free asset being constant can be dropped by considering the first price process a numeraire and normalizing the market. For S_0 to be a numeraire we need that $S_0(t) > 0$ almost surely for all $t \geq 0$. Using S_0 as numeraire we can consider the processes $Z_i = S_i(t)/S_0(t)$, which are the *discounted* price processes of the assets.

Definition 4.7 (Normalized market). A normalized market is a vector of processes Z given by

$$Z_i(t) = \frac{S_i(t)}{S_0(t)}, \quad i = 1, \dots, n.$$

The results we have presented so far are invariant to the usage of the "regular" market $\{S_i(t)\}$ as defined in (4.1) or the normalized market $\{Z_i(t)\}$ (4.7). So if a portfolio is self-financing on $\{S_i(t)\}$ then it is also self-financing on $\{Z_i(t)\}$ it is also self-financing on $\{Z_i(t)\}$, and if a portfolio does not have arbitrage on $\{S_i(t)\}$ then it is also self-financing on $\{Z_i(t)\}$ it does not have it on $\{Z_i(t)\}$ either. Thus 4.1 holds for any market $\{S_i(t)\}$ by just normalizing it.

Notice that if the numeraire is the risk-free asset S_0 then the the market $\{S_i(t)\}$ is arbitrage-free if all assets $S_i(t)$ have a local rate of return $r(t)$ under $\mathcal{Q}$, that is, if $\mu_i(S_i(t), t) = r(t)S_i(t)$ for all $i = 1, \dots, n$ under $\mathcal{Q}$.

Under the assumption of a market with no arbitrage, a key question is whether a contingent claim can be replicated by a portfolio consisting on the market assets. This yields the following theorem.

Theorem 4.2 (Second fundamental theorem of asset pricing). Assuming absence of arbitrage, the market model is complete if and only if the martingale measure $\mathcal{Q}$ is unique.

Finally we can give a general formula to price contingent claims. Under the assumption of a complete market, the price of a contingent claim $f(S(T))$ is given by

$$V(t, f(S(T))) = \mathbb{E}^{\mathcal{Q}} S_0(t) \left[\frac{f(S(T))}{S_0(T)} | \mathcal{F}_t \right] \quad (17)$$

in case that the numeraire is the risk-free asset,

$$V(t, f(S(T))) = \mathbb{E}^{\mathcal{Q}} \left[e^{\int_t^T r(s) ds} f(S(T)) | \mathcal{F}_t \right]$$

5 Local Volatility Model

We are going to introduce the Local Volatility Model mainly following [1].

5.1 Model description

The **local volatility model** is the simplest and most widely used volatility model in derivatives pricing. It extends the Black-Scholes framework by allowing the instantaneous volatility to be a deterministic function of both time and the spot price of the underlying asset,

$$\sigma = \sigma(t, S).$$

So the dynamics of the underlying asset under the local volatility model are given by the following stochastic differential equation,

$$\frac{dS_t}{S_t} = \mu(t, S_t)dt + \sigma(t, S_t)dW_t,$$

and the pricing PDE is identical to the Black-Scholes PDE, with the deterministic volatility function replacing the constant volatility

$$\frac{\partial f}{\partial t} = rf(t, S_t) - r \frac{\partial f}{\partial S} S_t - \frac{1}{2} \frac{\partial^2 f}{\partial S^2} \sigma^2(t, S_t) S_t^2,$$

5.1.1 Market model

A market model is a valuation model that includes vanilla options as part of the underlying, this means we are assuming that when hedging a derivative, we can use the vanilla options as a hedging instrument, in other words, the derivative can be replicated using a combination of the underlying as well as vanilla options. Thus vanilla options under a market model are exactly priced.

The local volatility model is a market model, since it is calibrated to match the vanilla option prices observed in the market

5.2 Dupire Equation

We will deduce the Dupire equation from arbitrage free arguments.

5.3 Calibration problem

In both the Black-Scholes model and the Local Volatility model, the parameter must be calibrated to market data to make the model usable. We will focus on the calibration of the Volatility function $\sigma(S, t)$ in the Local Volatility model, and will assume that the risk-free rate r and the dividend yield q are known and constant.

The market data consists of option prices for different strikes K and maturities T , So the calibration problem is to find a function $\sigma(S, t)$ such that the model prices $C(S_0, t_0, T, K; \sigma)$ match the observed in the market. While the volatility function could be any function, usually it is assumed to be smooth and have some regularity.

5.4 Calibration of the Local Volatility Model - Inverse PDE problem

We will present a calibration method based on the inverse problem following [6]

5.4.1 Change of variable - Log-moneyness

Market option prices are quoted over a discrete set of strikes K and maturities T , but the absolute level of the strike depends on the current price of the underlying asset S_0 . To avoid this dependency and make all options comparable, we will work with what is called the *log-moneyness*, defined as

$$y = \log(K/S_0),$$

the *log-moneyness* indicates how far in or out of the money is an option in logarithmic scale.

We redefine the notation of the volatility function and the call option price to reassemble a more standard for PDEs, let us define $\tau = T$ the time to maturity, $a(y, \tau) = \frac{1}{2}\sigma^2(K, T)$ as the diffusion parameter, and $u(\tau, y) = C(S_0, t_0; T, K)$ the call option price, to do this change of variable to the Dupire equation first we compute the derivatives of C in terms of u , with respect to T ,

$$C_T = \frac{\partial u}{\partial \tau} = u_\tau,$$

with respect to K we have to apply the chain rule,

$$C_K = \frac{\partial u}{\partial y} \frac{\partial y}{\partial K} = u_y \frac{1}{K},$$

and,

$$C_{KK} = \frac{\partial}{\partial K} \frac{u_y}{K} = \frac{1}{K} \frac{\partial u_y}{\partial K} - \frac{u_y}{K^2} = \frac{1}{K^2} (u_{yy} - u_y),$$

thus the Dupire PDE becomes,

$$u_\tau = a(y, \tau)(u_{yy} - u_y) - (r - q)u_y + qu. \quad (18)$$

We consider the PDE on a bounded domain $\Omega = (\alpha, \beta) \times (0, T]$, with Dirichlet boundary conditions,

$$u(\tau, \alpha) = \Psi_1(\tau), \quad u(\tau, \beta) = \Psi_2(\tau), \quad (19)$$

and initial condition,

$$u(0, y) = f(y) = S_0 \max(1 - e^y, 0). \quad (20)$$

Thus the inverse problem is to identify the diffusion parameter $a(y, \tau)$ from the initial value boundary problem defined by (18), (19), (20).

5.4.2 Reconstruction algorithm

The proposed algorithm on [6] considers to solve the problem on periods of maturities $[T_i, T_{i+1}]$, for each maturity with option price data.

The idea is to consider the option price function $f(y)$ at the beginning of the period T_i and $g(y)$ at the end of the period T_{i+1} , then we consider a linear operator A_f that maps the diffusion parameter a to the price function at the end of the period,

$$A_f(a) = u_a(T_{i+1}, y) = g(y),$$

and we want to find a such that this equality holds.

This approach transforms the nonlinear inverse problem into a series of linear problems, that are solvable using a Newton-type method.

5.4.3 Linear operator - Gateaux derivative

To apply Newton-like methods we first need to compute the Gateaux derivative of the operator A_f . This will give a linear approximation of the operator around a given point, that we will use to transform our nonlinear problem into a series of linear problems.

Proposition 5.1. Let $a \in L^\infty(\Omega)$ be a coefficient such that the forward problem admits a unique solution u_a . The Gateaux derivative of A_f at a in the direction h , denoted by $A'_f(a)$, is given by $A'_f(a)h = w(\cdot, T)$, where $w(y, \tau)$ is the unique solution to the linearized variational problem:

$$-w_\tau + a(y, \tau)(w_{yy} - w_y) - (r - q)w_y + qw = -h(y, \tau)((u_a)_{yy} - (u_a)_y), \quad (21)$$

subject to homogeneous initial and boundary conditions:

$$w(0, y) = 0, \quad y \in (\alpha, \beta), \quad (22)$$

$$w(\tau, \alpha) = 0, \quad w(\tau, \beta) = 0, \quad \tau \in [0, T]. \quad (23)$$

5.4.4 Adjoint operator

To implement gradient-based minimization algorithms efficiently, we introduce the adjoint of the Gateaux derivative, referred as the backpropagation operator in [6].

Let $A'_f(a)^* : L^2(\Omega) \rightarrow L^2(\Omega \times [0, T])$ denote the adjoint operator. For a given residual $\psi \in L^2(\Omega)$ (e.g., $\psi = A_f(a) - g$), the action of the adjoint operator is defined via the solution to a backward parabolic problem.

Proposition 5.2 (Adjoint Operator). Let u_a be the solution to the forward problem for a given volatility parameter a . For any $\psi \in L^2(\Omega)$, let $m(y, \tau)$ be the solution to the following adjoint backward parabolic equation:

$$\frac{\partial m}{\partial \tau} + \frac{\partial^2 a(y, \tau)m}{\partial y^2} + \frac{\partial a(t, \tau)m}{\partial y} + (r - q)\frac{\partial m}{\partial y} = 0, \quad (24)$$

subject to the final and boundary conditions:

$$m(y, T) = \psi(y), \quad y \in (\alpha, \beta), \quad (25)$$

$$m(\alpha, \tau) = 0, \quad m(\beta, \tau) = 0, \quad \tau \in [0, T]. \quad (26)$$

Then, the adjoint operator applied to ψ is given by:

$$A'_f(a)^*\psi = m \left(\frac{\partial^2 u_a}{\partial y^2} - \frac{\partial u_a}{\partial y} \right). \quad (27)$$

In the case where the volatility parameter $a(y)$ is assumed to be time-independent, the adjoint operator maps into $L^2(\alpha, \beta)$ by integrating the time-dependent sensitivity over the duration of the option:

Corollary 5.3 (Time-Independent Case). If $a = a(y)$, the gradient of the objective function with respect to a is given by:

$$A'_f(a)^*\psi = \int_0^T m(\cdot, \tau) \left(\frac{\partial^2 u_a}{\partial y^2}(\cdot, \tau) - \frac{\partial u_a}{\partial y}(\cdot, \tau) \right) d\tau. \quad (28)$$

5.4.5 Algorithm

5.4.6 Practical implementation

5.4.7 Numerical results

**5.4.8 Alternative approach Interpolation/Exaptrapolation of the IV surface
- Optional**

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